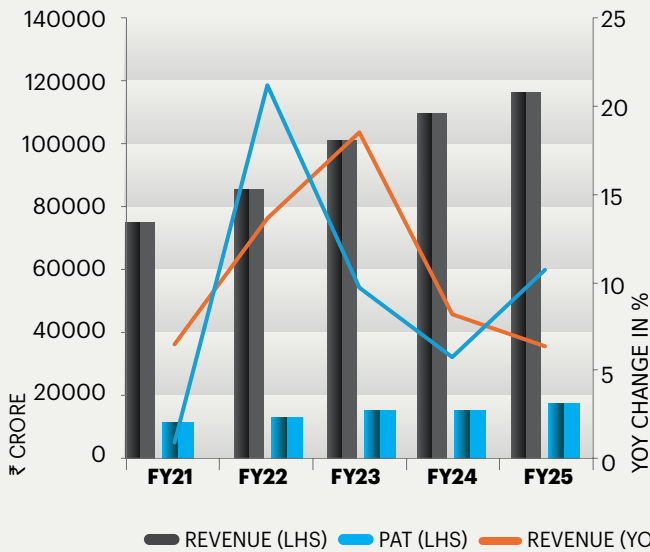
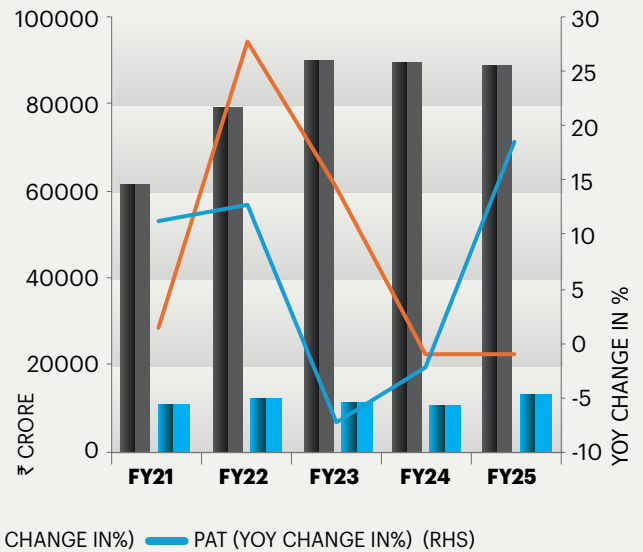


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visas is a lot more (estimated to be 40% in some cases).

According to a Motilal Oswal Financial Services report, Indian IT firms today are far less dependent on H-1B visas than a decade ago. With localisation drives and higher local hiring in the US, H-1B holders now form just 3-5% of a vendor's workforce. Despite reduc-

ing dependence, Indians still hold the major share.

The hike in visa fees is also a way of sending out a message to the domestic IT industry. "First off, we need to create R&D centres in the US, followed by setting up nearshore centres. The third piece is to embrace AI in a much bigger way, and finally, like what Zoho did, we must create more products that are made in India," says C. P. Gurnani.

From a historic perspective, the industry has confronted many a serious hurdle like the internet boom and failure, the global financial crisis and, more recently, the pandemic. "The advent of new technology at each phase is always an opportunity. When cloud came along, everyone spoke of the infrastructure business going away," says Gurnani. AI may not drive a significant surge in demand in the coming years. Most traditional enterprises remain in the exploratory phase, with a large number of AI projects confined to pilot stages and a few progressing to full production. These dynamics suggest that the demand environment will likely remain subdued," he says.

Will the sector overcome this existential threat?

(With additional inputs from Palak Agarwal) **BT**

@krishnagopalan



SALIL PAREKH
CEO & MD, INFOSYS

"It is important to be paranoid and not become complacent. Only then can the IT industry be successful in keeping up with the changes confronting the sector"